In the meantime though, the RBI has to weigh the costs of rapidly slowing growth against persistent **CPI inflation**. To the extent that the primary component of CPI inflation is food prices, elevated because of supply constraints, the textbook prescription is for the RBI to look through higher food prices even while setting rates to ensure that the 'second round effects' as reflected in core inflation are contained. In other words, set monetary policy based on the behaviour of core inflation. One worry with this more accommodative approach is that CPI inflation, which is what the public sees, is becoming entrenched in the public's expectations. A second worry is that high inflation may be causing anxious investors to shun fixed income investments such as deposits and even turn to ***gold as an inflation hedge***, thus contributing to the CAD. Nevertheless, to the extent that monetary policy has limited influence over certain aspects of inflation such as food prices, it may be appropriate for monetary policy to set rates based on what it can influence, while keeping in mind that nominal interest rates affect many aspects of the economy other than growth and inflation.

From the government's perspective, a major contribution to the fight against inflation will be to reduce the fiscal impetus to demand. Also a focus on incentivising food production through measures other than price supports, while facilitating storage and distribution, can help contain food inflation, which is hard for the RBI to control. Policy on price and procurement supports should be calibrated so as to not encourage more production of crops that are already abundantly supplied. Other measures to increase investment more broadly, and therefore supply, can also help over the medium term.

The BoP and External Position

The CAD in the first half of 2012-13 has been 4.6 per cent of GDP. Available indications do not seem to suggest any improvement in the current account balance in the second half. There is a case for discouraging imports of commodities like **gold** and making efforts to **raise exports**. While the government has 'thrown sand in the wheels' by raising the tariff on gold from 4 per cent to 6 per cent in order to discourage imports and tried to unlock passive gold holdings through gold loans, gold purchases are likely to come down primarily when households see *attractive alternative*